

AI Data Centers: Jurisdiction Memos for Public Ledger Review

Ohio/AEP-style PUC memo

Virginia/SCC-style memo

PJM/FERC memo

Public Power / Cooperative memo

Legal authority is not one ledger.

Each institution can order some things, condition some things, request some facts, and must refer some issues elsewhere.

Working release for public review and issue-spotting. Not a legal filing, expert report, or commission-ready evidentiary record.

Liquidity Happy Hours

Money View Lab research desk

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Working memo, not legal advice

These memos are jurisdictional roadmaps for policy analysis. They are not legal opinions and should not be filed as counsel's authority statement without state-specific legal review, docket checks, and citation lockdown. Each memo separates: legal hook, can order, can condition, can request, and must refer elsewhere.

Common Rule**Authority before remedy**

The ledger method asks who pays. A filing must also ask who has authority to require the answer. A PUC may be able to condition retail cost recovery while lacking power over county tax abatements. A county may condition a PILOT or zoning agreement while lacking power over PJM capacity pass-throughs. PJM and FERC may shape wholesale tariff and capacity rules while leaving retail class billing to states.

Table 1: Three versions needed before docket use

Version	Use	Required before relying on it
Policy memo version	Explains jurisdictional boundaries and what each institution may be able to see or condition.	This document is sufficient for framing and outside review.
Legal appendix version	Pins each "can order," "can condition," and "can request" line to statute, regulation, tariff sheet, docket number, order paragraph, protective-order rule, or board authority.	State-specific source lockdown and local counsel review.
Filing version	Supports an actual motion, comment, testimony, or proposed order.	Counsel-approved authority statement; removal of unsupported commands; updated as-of date for PJM/FERC/state status.

Table 2: Legal appendix pinning register

Memo	Authority pins required	Filing risk if not pinned
Ohio / AEP-style	PUCO docket and order entries, Schedule DCT tariff sheet, Ohio Revised Code provisions, rider/rate-case authority, protective-order rule, OCC or consumer advocate participation authority.	A proposed condition may be attacked as policy preference rather than commission authority.
Virginia / SCC-style	SCC final order paragraph/page for GS-5, 25 MW threshold, 85/60 floors, effective date, 14-year obligation, relevant Virginia Code sections, IR-P/rider/biennial review authority, protective-order practice.	GS-5 may be described accurately as policy context but not as authority for a requested remedy.
PJM / FERC-style	FPA/filed-rate hook, PJM tariff or filing status, RBP docket or stakeholder document, bilateral path, connect-and-manage terms, curtailment accreditation, and state pass-through limits.	Market evidence may be mistaken for legal liability or a state remedy may be requested from the wrong forum.
Public power / cooperative	Charter, bylaws, ordinance, board resolution, open-meeting and public-record authority, wholesale contract, municipal bond official statement, continuing disclosure, member-rate and complaint process.	A local board or member-rate remedy may be assumed without proving who has the power to order it.

1 Ohio / AEP-Style PUC Memo

Use case. A large data-center customer in AEP Ohio's service territory seeks new or expanded service, and the utility relies on Schedule DCT, future rate recovery, PJM forecast treatment, or customer-specific infrastructure.

Core public record. PUCO announced on July 9, 2025 that it adopted an AEP Ohio data-center tariff settlement and directed AEP Ohio to file new tariffs for data centers. AEP Ohio's public tariff page states that Schedule DCT applies to data centers or expansions of 25,000 kW or greater, includes load-study fees, minimum demand rules, collateral or guarantee requirements, buildout reimbursement, capacity assignment rules, aggregation of affiliated loads, and behind-the-meter curtailment requirements. Ohio Revised Code section 4909.18 requires a utility seeking to establish or change a rate, classification, charge, rental, regulation, or practice affecting the same to file an application with PUCO and provide facts, grounds, and additional information required by the commission.

Table 3: Ohio / AEP-style authority map

Legal hook	Can order	Can condition	Can request	Must refer elsewhere
Large-load tariff and rate/-classification application	Filed tariff terms, service classification, rate design, minimum demand treatment, and customer-specific charges where authorized.	Cost recovery on executed service agreement, load-study payment, milestone deposit, collateral, exit fee, and Ledger Adequacy Certificate.	Public summary of redacted tariff terms, payer identity category, MW, term, cost categories covered, collateral type, and residual claimant.	County tax abatements, zoning, air permits, local water debt, and PJM tariff design.
Base distribution rate case, rider, or prudence review	Treatment of utility-owned distribution facilities, rider recovery, cost allocation, and prudence findings within PUCO authority.	Recovery on ring-fencing, customer-specific rider, shareholder sharing, later-user reassignment, or true-up if customer commitment fails.	Cost-to-serve study, customer-specific facilities list, shared network upgrade record, underuse and exit stress case.	Wholesale transmission allocation, capacity-market design, county infrastructure support.
Schedule DCT customer service process	DCT compliance, aggregation of affiliated loads, study fee process, minimum demand calculations, and certain collateral compliance.	Service on credit support, contract capacity, ramp schedule, buildout reimbursement, and behind-the-meter curtailment equipment.	Whether load enters PJM forecast, whether receiving customer assumes reallocated capacity, and whether stranded investment remains.	PJM cost allocation beyond retail pass-through; county, school, water, environmental ledgers.
Consumer advocate / public counsel participation	Where state procedure allows, review of rate, tariff, and cost-allocation evidence.	Protective-order review as condition of relying on confidential contracts for public-cost recovery.	Unredacted or summarized credit support, minimum bills, exit fees, cost studies, and affiliate payer identity.	Private commercial disputes not relevant to public recovery; local matters outside the docket.

Ohio filing question

The Ohio memo should not ask only whether Schedule DCT has protective words. It should ask whether the filed tariff, service agreement, collateral, exit fee, and PJM forecast treatment leave any residual cost that could enter ordinary rates or riders if the customer delays, underuses, exits, defaults, or transfers

capacity.

2 Virginia / SCC-Style Memo

Use case. A large data-center cluster enters Dominion Energy Virginia’s planning, rate-class, IRP, rider, or biennial review framework.

Core public record. The Virginia SCC announced that its 2025 Dominion biennial review order created a GS-5 class for customers demanding 25 MW or more, effective January 1, 2027; required certain large-scale customers to pay at least 85 percent of contracted distribution and transmission demand and 60 percent of generation demand; and rejected Dominion’s requested base-rate increases for 2026 and 2027. The SCC’s public facts page also states that large-load customers such as hyperscale data centers must take and pay for electric service for at least 14 years, may face collateral obligations, and that Dominion must submit its process for interconnecting large-load customers for SCC review. Virginia Code section 56-235.2 uses the just-and-reasonable standard and requires reasonable customer classifications; section 56-585.8 governs biennial rate reviews for Phase I utilities.

Table 4: Virginia / SCC-style authority map

Legal hook	Can order	Can condition	Can request	Must refer elsewhere
Rate class and just-and-reasonable review	Separate large-load class treatment, reasonable classifications, and retail rate treatment within SCC jurisdiction.	GS-5 or successor treatment on cost-of-service study, minimum demand floors, collateral, and public summary of class protections.	Load shape, cost-to-serve study, generation/T&D floor adequacy, low-load stress case, affiliate payer identity.	County tax incentives, zoning, local water authority debt, site permits.
IRP, forecast, rider, or resource-planning review	Forecast scrutiny, resource-plan analysis, rate-base and rider review, prudence findings, and customer-class allocation where authorized.	Recovery on executed large-load commitments, milestone schedules, used-and-useful review, true-up, shareholder sharing, and exit-risk protection.	With-project and without-project IRP scenarios, load ramp evidence, generation/resource adequacy exposure, 14-year obligation stress test.	PJM/FERC wholesale tariff design; county fiscal benefits; local land-use and water decisions.
Large-load interconnection process	Dominion process for connecting large-load customers, reliability and planning evidence, and public-facing procedural requirements where authorized.	Interconnection review on transparent milestones, duplicative-request checks, technical performance, and collateral or guarantee evidence.	Queue/cluster list, phased affiliates, telemetry and curtailment claims, transmission planning assumptions.	Local permits, environmental enforcement, wholesale capacity settlement beyond state authority.
Consumer advocate / intervenor review	Participation in SCC proceedings under protective order where available.	Public recovery on representative review of confidential cost studies and service terms.	Redacted contract summaries, non-sensitive MW/term/cost categories, residual claimant, and credit support.	Private contract terms irrelevant to public risk; county-only matters.

Virginia filing question

GS-5 should be judged as necessary but not sufficient. The memo should test whether the 85 percent T&D floor, 60 percent generation floor, 14-year take-and-pay obligation, collateral, IRP forecast, and rider/rate-base path cover assets that may last 30 to 40 years.

3 PJM / FERC Memo

Use case. Forecast data-center load affects PJM capacity, Reliability Backstop Procurement, connect-and-manage curtailment, bilateral capacity paths, or wholesale transmission/capacity allocation.

Core public record. PJM's February 2026 Reliability Backstop working paper stated that PJM did not have the ability in that design to allocate costs directly to specific new large loads or data centers, leaving allocation beyond the zone or EDC to states. PJM's April 2026 design presentation described an RTO-level procurement target broken out by zones based on large-load MW, EDC pro-rata allocation, bilateral contracting considerations, and EDC/state/LSE coordination. PJM Inside Lines reported that PJM and stakeholders began work on Reliability Backstop Procurement and connect-and-manage processes for large loads. Monitoring Analytics reports should be used as market-level counterfactual evidence, not project-level bill allocation.

Table 5: PJM / FERC authority map

Legal hook	Can order	Can condition	Can request	Must refer elsewhere
FERC-approved PJM tariff and Federal Power Act filing pathway	Wholesale tariff rules, capacity-market design, interconnection process, transmission planning, and filed allocation methods.	RBP, bilateral capacity path, connect-and-manage, or qualifying capacity treatment on tariff-defined commitments, telemetry, accreditation, and credit support.	Forecast verification, large-load commitment data, duplicative queue requests, ramp schedules, utilization assumptions, and deliverability evidence.	Retail class billing, county tax incentives, local water debt, zoning, and state affordability mitigation.
Reliability Backstop Procurement design	Procurement target, eligible supply rules, wholesale settlement design, EDC/LSE allocation if accepted in tariff.	Participation or allocation on bilateral contracts, state allocation commitments, C&M expectations, and creditworthiness.	EDC target MW, large-load forecast, bilateral contract evidence, qualifying capacity, cost allocation chain.	State-by-state assignment to data centers, retail riders, customer-class pass-through unless state proceedings implement them.
Connect-and-manage / curtailment accreditation	Operator-dispatchable curtailment rules and reliability procedures if tariff-approved.	Capacity or charge credit on telemetry, dispatch rights, notice time, test events, and nonperformance penalties.	Maximum ramp, curtailment hours, tenant authority, BTM fuel assurance, emissions constraints, and telemetry recipient.	Local backup-generation permits, air-quality mitigation, retail bill credits.

Legal hook	Can order	Can condition	Can request	Must refer elsewhere
State pass-through interface	PJM can expose wholesale allocation and settlement chain; states decide many retail consequences.	Coordinate with state commissions and EDCs on large-load-specific riders or bilateral pass-through mechanisms where state law allows.	Which LSE/EDC receives costs, how they enter retail rates, whether public counsel can inspect confidential terms.	Final retail allocation, low-income mitigation, local fiscal and water ledgers.

Do not convert PJM evidence into a project bill

PJM and Monitoring Analytics evidence can establish a market-pooling pathway. It should not be divided by MW and called a project bill. A project-level obligation requires a tariff, state rule, bilateral capacity contract, qualifying capacity contribution, curtailment accreditation, rider, or other enforceable assignment mechanism.

4 Public Power / Cooperative Memo

Use case. A data center is served by a municipal utility, public power district, joint-action agency, electric cooperative, or cooperative G&T rather than by a vertically integrated investor-owned utility subject to a conventional state PUC rate case.

Core public record. Public power and cooperative systems can expose residents or member-owners through local board decisions, wholesale contracts, power-supply agreements, municipal bonds, member rates, and debt-backed facilities. APPA describes public power as not-for-profit, community-owned utilities serving about 2,000 towns and cities. NRECA describes electric cooperatives as private, independent, nonprofit utilities owned by the customers they serve, governed by elected boards, and providing at-cost electric service. MSRB's EMMA system is the public source for official statements, credit ratings, continuing disclosures, and other municipal bond information.

Table 6: Public power / cooperative authority map

Legal hook	Can order	Can condition	Can request	Must refer elsewhere
Municipal utility board, city council, or public power governing body	Local rate schedules, service agreements, debt issuance approvals, public infrastructure support, and board-level policies where state/local law permits.	Large-load service on board-approved tariff, minimum bill, deposit, exit payment, water/road coordination, and public summary of costs.	Official statement, bond covenant, wholesale power contract, customer-specific facilities list, rate-impact study, and residual claimant.	State PUC retail matters if applicable, RTO/FERC wholesale allocation, environmental permits, and county/school tax decisions.
Electric cooperative board and member-rate process	Member rates, service rules, line-extension policy, wholesale pass-through, and cooperative-specific large-load contracts subject to charter/state law.	Service on member contribution, security deposit, minimum charge, G&T capacity commitment, exit payment, and board-approved cost recovery.	Whether members bear wholesale or debt-backed exposure, whether the data center is a member or special contract customer, and how capital credits or margins are affected.	PUC jurisdiction where limited or absent, FERC/RTO tariff issues, county incentives, and site permits.

Legal hook	Can order	Can condition	Can request	Must refer elsewhere
Joint-action agency, G&T cooperative, or wholesale supplier	Wholesale power supply, capacity procurement, debt-backed generation/transmission facilities, and pass-through to municipal/co-op members.	Capacity or resource commitment on take-or-pay, back-to-back customer obligation, credit support, and later-user or member allocation rule.	Wholesale contract term, fuel/resource risk, load forecast, capacity obligation, debt-service coverage, and member pass-through path.	Retail customer class billing, local zoning/water, and state consumer-protection remedies.
Municipal bond disclosure and continuing disclosure	Bond documents, official statement, debt-service coverage, pledged revenues, and risk factors available through EMMA.	New debt or refinancing on disclosure of large-load dependence, customer concentration, take-or-pay obligation, and stranded-asset protection.	Official statement, continuing disclosure, credit-rating commentary, indenture, debt-service schedule, and customer concentration risk.	Utility tariff enforcement, private credit support unless disclosed, RTO capacity allocation, and local permit mitigation.

Public power / co-op filing question

The public-power or cooperative memo should ask whether the large-load customer has a back-to-back obligation matching the public system's debt, wholesale power, and infrastructure exposure. If the municipal utility or co-op signs a long-lived power, transmission, or bond obligation for the data center, the member or taxpayer ledger is not settled until the customer contract, minimum payment, credit support, and exit protection match that exposure.

Table 7: Public power / cooperative memo checklist

Issue	What the legal appendix should pin
Board approval authority	Charter, bylaws, ordinance, board resolution, open-meeting rule, and who may approve a large-load service agreement.
Open-record obligations	Public-record statute, board-document practice, redaction authority, and whether a non-sensitive ledger summary can be required.
Wholesale take-or-pay exposure	Wholesale power contract, G&T obligation, joint-action agency commitment, capacity charge, fuel/resource risk, and pass-through path to members or municipal customers.
Debt-backed facility risk	Bond official statement, pledged revenues, debt-service coverage, customer concentration disclosure, project-specific reserve, and exit payment.
Member-rate pass-through	Whether costs flow to member rates, retail classes, wholesale requirements customers, or a rate-stabilization fund.
G&T cooperative obligations	Whether the local distribution co-op, G&T, or data-center customer carries the capacity/resource obligation and credit support.
Stranded local infrastructure	Line extension, substation, water, road, public-safety, or site-specific facility risk if the load exits or ramps late.
Member intervention rights	Notice, meeting participation, member vote, complaint process, public counsel access if any, and protective-order alternative.

Citation Notes

- Ohio Revised Code section 4909.18: <https://codes.ohio.gov/ohio-revised-code/section-4909.18>
- PUCO bulletin on AEP Ohio data-center tariff order: <https://content.govdelivery.com/accounts/0HPUC/bulletins/3e8bb79>

- AEP Ohio Data Center Tariff public page: <https://www.aepohio.com/company/about/rates/data-center-tariff/>
- Virginia Code section 56-235.2: <https://law.lis.virginia.gov/vacode/title56/chapter10/section56-235.2/>
- Virginia Code section 56-585.8: <https://law.lis.virginia.gov/vacode/title56/chapter23/section56-585.8/>
- Virginia SCC GS-5 announcement: <https://www.scc.virginia.gov/about-the-scc/newsreleases/release/scc-issues-order-on-dev-biennial-review-2025/scc-rules-in-dev-biennial-review-case.html>
- Virginia SCC data-center facts page: <https://www.scc.virginia.gov/about-the-scc/scc-facts/>
- PJM Reliability Backstop working paper: <https://www.pjm.com/-/media/DotCom/committees-groups/workshops/rbpw/2026/20260218/20260218-item-03---pjm-reliability-backstop-design-working-paper.pdf>
- PJM Reliability Backstop Procurement design presentation: <https://www.pjm.com/-/media/DotCom/committees-groups/cifp-rbp/2026/20260416/20260416-item-05---pjm-reliability-backstop-procurement-design---pjm-presentation.pdf>
- PJM Inside Lines on large-load reliability integration: <https://insidelines.pjm.com/pjm-stakeholders-begin-work-on-boards-plan-to-reliably-integrate-large-loads/>
- American Public Power Association, *Public Power Statistical Report*: <https://www.publicpower.org/resource/public-power-statistical-report>
- NRECA, *America's Cooperative Electric Utilities Fact Sheet*: <https://www.cooperative.com/programs-services/bts/Documents/Data/Electric-Co-op-Fact-Sheet.pdf>
- Municipal Securities Rulemaking Board, *About EMMA*: <https://www.msrb.org/Transparency-and-Technology/About-EMMA>

Change Note

Jurisdiction Memos v1.0 RC3 split the legal-authority question out of the general toolkit and place it under the Liquidity Happy Hours / Money View Lab release structure. They provide Ohio/AEP-style, Virginia/SCC-style, PJM/FERC-style, and public power/cooperative authority maps using the same legal hook / can order / can condition / can request / must refer elsewhere structure. This version adds the policy memo / legal appendix / filing version ladder, the legal-appendix pinning register, and the expanded public power/cooperative checklist. They are working memos for legal review, not final filing advice.